

2026 — Looking ahead [12]

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PENDING LEGISLATION

Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill

The Minister of Revenue introduced a new taxation Bill into the House on 26 August 2025. [Taxation \(Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures\) Bill](#) contains a range of proposed measures, remedials and maintenance measures to boost and grow New Zealand's economy. The Bill introduces amendments to the following Acts:

- # [Income Tax Act 2007](#) (IT07)
- # [Tax Administration Act 1994](#) (TAA)
- # [Goods and Services Tax Act 1985](#) (GST Act)
- # [KiwiSaver Act 2006](#)
- # Unclaimed Money Act 1971
- # [Student Loan Scheme Act 2011](#)
- # [Child Support Act 1991](#)
- # Criminal Proceeds (Recovery) Act 2009
- # [Taxation \(Annual Rates for 2024–25, Emergency Response, and Remedial Measures\) Act 2025](#)
- # [Taxation \(Budget Measures\) Act 2025](#), and
- # [Tax Administration \(Financial Statements—Domestic Trusts\) Order 2022](#)

The following is a brief summary of the specific policy measures contained in the Bill:

- # Confirmation of annual rates of income tax for the 2025–26 income year: The Bill proposes that the annual rates of income tax for the 2025–26 income year be set at the rates currently specified in Sch 1 pt A of the IT07 — see CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026*, ¶50-040.
- # Introducing a new foreign investment fund (FIF) calculation method: The Bill proposes to introduce a new calculation method, the revenue account method (RAM), which would tax eligible FIF interests on a realisation basis, ie dividends derived and 70% of gains or losses. The proposal would allow a taxpayer to apply the RAM to qualifying foreign shares when the taxpayer became a New Zealand resident and was not a transitional resident on or after 1 April 2024 and was a New Zealand non-resident for at least 5 years before becoming resident. The new RAM method is targeted towards migrants and returning New Zealanders and addresses the double taxation issue for taxpayers who are subject to tax in another country on the disposal of their foreign shares that are FIF interests.
- # Certain visitors to be treated as non-resident: The Bill proposes to allow certain visitors to New Zealand (“non-resident visitors”) to be present in New Zealand for 275 days in a given 18-month period without becoming a New Zealand tax resident. The proposed changes are aimed at visitors who engage in remote work while present in New Zealand and would otherwise be subject to New Zealand tax obligations.
- # Amendments to the employee shares scheme (ESS): The Bill proposes to introduce changes that allow unlisted companies to elect into a regime where the tax liability for employees who receive shares or share options as part of an ESS can, generally, be deferred until a liquidity event, such as the sale of shares. The Bill also proposes changes to clarify that the share scheme taxing date can arise before shares are held by or for the benefit of an ESS beneficiary and to clarify the timing of employers' deductions.
- # GST and unincorporated joint ventures: The Bill proposes to allow the members of a joint venture to choose to individually account for GST on supplies made or received in the course of the venture under their own GST registrations rather than registering the joint venture separately, consistent with common practices in some industries. This would resolve issues with some joint ventures being unable to register and minimise compliance costs associated with certain joint venture activities.

Income from residential supply of excess electricity: The Bill proposes to introduce an income tax exemption for income derived by an individual from the sale of excess electricity from a residential property to the network. Under the exemption, individuals would not need to pay tax on, or file a tax return for, income derived from the sale of excess electricity. However, they would no longer be entitled to deductions relating to this activity.

Simplification of the fringe benefit tax (FBT) rules: The Bill proposes amendments which will allow employers the option to pool insurance benefits provided to employees under a global insurance policy. The Bill proposes a retrospective amendment which will change the threshold for all-inclusive pay from \$129,681 to \$130,724. A proposed amendment in the Bill will clarify that the cost or adjusted tax value of a vehicle will not be impacted by the amount of any Investment Boost claimed in respect of the vehicle. The Bill contains a proposed amendment that will allow employers to treat “gift cards” provided to employees as fringe benefits unless the employer chooses to treat the gift card as subject to pay as you earn (PAYE). The Bill also proposes to exempt certain fringe benefits received by non-resident visitors who meet certain conditions from FBT.

Repeal of legislative provisions for trust disclosures: The Bill proposes to repeal the specific legislative provisions for trust disclosures in ss [59BA](#) and [59BAB](#) of the TAA to improve legislative clarity. Amendments are also proposed to be made to the Order setting minimum requirements for preparing financial statements. This would ensure that the Order continues to apply to trustees currently filing returns under the specific disclosure provisions if those provisions are repealed.

Powers for the Commissioner of Inland Revenue (Commissioner) to set certain rates: The Bill proposes to streamline the process of setting use of money interest rates, the FBT prescribed rate, and deemed rate of return for FIFs by statutorily vesting these rate-setting powers in the Commissioner as delegated secondary legislation. The determinations made must be published and presented to Parliament and are subject to review.

Updated information sharing for proceeds of crime: The Bill proposes allowing the Commissioner to disclose updated information to an authorised person of the New Zealand Police, after a prima facie case has been established, to maintain the accuracy of the Inland Revenue (IR) information already held by the Police (that was obtained under existing information disclosure rules).

Information sharing by way of Ministerial agreement: The Bill introduces a new provision to enable the Commissioner to disclose information to another government agency under a Ministerial agreement. These agreements give the Minister of Revenue and the Minister in charge of the other agency the power to agree to the disclosure of information to determine entitlement to, or eligibility for, government assistance, for the detection, investigation, prosecution, or punishment of suspected or actual crimes punishable by terms of imprisonment of 2 years or more or to remove the financial benefit of crime.

The Bill also contains a significant number of amendments of a remedial and technical nature to GST, KiwiSaver scheme settings, Investment Boost scheme and non-resident contractors' tax rules.

DRAFT INTERPRETATION STATEMENTS

IR released the following draft interpretation statements in 2025 that have yet to be finalised:

Shortfall penalties

On 29 August 2025, IR issued the following draft interpretation statements on the shortfall penalties for not taking reasonable care, taking an unacceptable tax position and gross carelessness:

[PUB00499](#) “Shortfall penalty for taking an unacceptable tax position”. Once finalised, this statement will replace [IS0055](#).

[PUB00500a](#) “Shortfall penalty for gross carelessness”. Once finalised, this statement will replace [IS0060](#).

[PUB00500b](#) “Shortfall penalties — requirements for a “tax position” and a “tax shortfall”.

[PUB00500c](#) “Shortfall penalties — reductions and other matters”.

On 31 October 2025, IR further issued the following draft interpretation statements on the shortfall penalty for taking an abusive tax position and for evasion or similar act:

[PUB00501](#) “Shortfall penalty for taking an abusive tax position”. Once finalised, this statement will replace [IS0061](#).

[PUB00502](#) “Shortfall penalty for evasion or a similar act”. Once finalised, this statement will replace [IS0062](#) and [QB 10/04](#).

Income tax — providing sponsorship

On 10 September 2025, IR released a draft interpretation statement, [PUB00509](#) “Income tax implications of providing sponsorship”, which provides guidance on the income tax implications for a business that provides sponsorship, in the form of money or by providing products or services, to an organisation, event, person or cause, where the taxpayer (the sponsor) intends that the sponsorship will promote or advertise their business. Once finalised, this statement will replace [IS3229](#).

Income tax — deductibility of repairs and maintenance expenditure — general principles

On 20 October 2025, IR issued a draft interpretation statement, [PUB00505](#) “Income tax — deductibility of repairs and maintenance expenditure — general principles”, which considers the general principles governing the income tax treatment of expenditure taxpayers incur in carrying out work on tangible property they use in a business or income-earning activity. Once finalised, this statement will replace [IS 12/03](#).

GST — supplies of payment processing or facilitation services to merchants

On 20 October 2025, IR released a draft interpretation statement, [PUB00515](#) “GST treatment of supplies of payment processing or facilitation services to merchants”, which applies to entities that provide payment processing or facilitation services and provides a framework for determining whether services provided to merchants are financial services and therefore will be GST exempt or zero-rated if applicable.

Working for Families tax credits and family scheme income

On 24 October 2025, IR issued a draft interpretation statement, [PUB00513](#) “Working for Families tax credits and family scheme income”, which provides an overview of eligibility for Working for Families tax credits and discusses the adjustments required to a person’s net income to determine family scheme income.

Income tax — payments by employers on the death of an employee to executors and family

On 14 November 2025, IR released a draft interpretation statement, [PUB00470](#) “Income tax — payments by employers on the death of an employee to executors and family”, which considers a number of issues including whether amounts paid by employers on the death of an employee are taxable to the recipients, the deductibility of payments made by employers, whether employers have PAYE obligations in respect of the payments, the duties of executors to file tax returns for the deceased employee and any estate that may arise.

GST — short-stay accommodation

On 14 November 2025, IR issued a draft interpretation statement, [PUB00477](#) “GST treatment of short-stay accommodation”, which sets out the GST treatment of short-stay accommodation provided by hosts either through an electronic marketplace (such as Airbnb or Bookabach) or directly to guests. Once finalised, this statement will replace [IS 20/04](#) and [QB 19/09](#).

GST — services supplied in relation to retirement schemes

On 11 December 2025, IR issued a draft interpretation statement, [PUB00522](#) “GST financial services — Services supplied in relation to retirement schemes”, which provides guidance on the GST treatment of services that the manager of a retirement scheme supplies to the scheme and that third-party outsourced providers supply to the manager of a retirement scheme.

GST — Court-awarded costs and disbursements

On 19 December 2025, IR released a draft interpretation statement, [PUB00516](#) “GST: Court-awarded costs and disbursements”, which considers whether court-awarded costs and disbursements and out-of-court settlement payments for costs and disbursements are subject to GST.

DRAFT OPERATIONAL STATEMENTS

IR released the following draft operational statements in 2025 that have yet to be finalised:

Mutual transactions of associations

On 30 April 2025, IR issued a draft operational statement, [ED0265](#) “Mutual transactions of associations (including clubs and societies)”, which sets out the income tax treatment of amounts societies, clubs and other associations receives from members, other than amounts subject to a specific tax exemption such as for charities or sports clubs.

DRAFT DETERMINATION

Tax Depreciation Rate for battery energy storage systems

On 18 November 2025, IR issued a draft determination, [ED0266](#) “Tax Depreciation Rate for battery energy storage systems”, which proposes a provisional depreciation rate for a new asset class of modular battery energy storage systems used by the power generation industry and in national grid electricity distribution networks.

DRAFT QUESTIONS WE’VE BEEN ASKED

IR released the following draft “questions we’ve been asked” (QWBA) in 2025 that have yet to be finalised:

Deductibility of expenditure on planting horticultural plants for a lessee farmer

On 4 August 2025, IR released a draft QWBA [PUB00491](#), “Can a farmer who leases land deduct the tax book value of horticultural plants on the land when the lease ends?”, which considers whether a lessee farmer who carries on a farming business on leased land, is able to deduct the tax book value of the expenditure incurred on planting horticultural plants in the income year the lease on the farmland ends.

Deductibility of asbestos removal costs

On 28 October 2025, IR issued a draft QWBA [PUB00510](#), “Income tax — Can a deduction be claimed for asbestos removal costs?”, which explains what deductions a taxpayer can claim for the costs of removing asbestos from commercial property, residential rental property or other assets used in deriving assessable income.

FBT — exclusion for benefits relating to health or safety

On 29 October 2025, IR released a draft QWBA [PUB00507](#), “When does the fringe benefit tax exclusion for benefits relating to health or safety apply?”, which provides guidance on how the FBT exclusion for benefits relating to health or safety applies and this item is relevant to employers who provide their employees with benefits as part of their duty to manage risks to health or safety in the workplace.

UPCOMING CONSULTATION

There are a number of items that will be released for consultation during 2026 and will outline proposals expected to be progressed in the coming year.

For a full list of tax items being contemplated by IR, see the Public Guidance work programme 2025–26 at taxtechnical.ird.govt.nz/consultations/our-work-programmes.

Last reviewed on 31 December 2025